



MICROSOFT

OUTPERFORM

PRICE* USD424.5 ■ TARGET PRICE **USD555** (UPSIDE 31%)

FQ3'26 Postview: Azure and M365 offsetting FY'27 noise

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Microsoft reported what we view as a strong FQ3, delivering on the two pillars investors had been hoping for: 1) sustained Azure re-acceleration through CY26, and 2) building traction in Copilot. Investors will continue to require confidence that Microsoft is getting Copilot right. Encouragingly, momentum appears to be building into the May 1 launch of Microsoft's E7 suite, evidenced by the company making Agent Mode the default across the M365 suite and increasingly positive feedback from Frontier program users on Copilot's newer capabilities. We also view the evolution toward a hybrid seats + consumption model as positive, with the company also signalling a willingness to introduce consumption elements beyond just GitHub Copilot, enabling AI monetization to materialize (and scale) faster in the P&L. In turn, we maintain our Outperform rating on Microsoft as we remain constructive on Microsoft's ability to flip the narrative as Copilot traction builds, potentially driving a re-rating reminiscent of inflection in sentiment seen with Alphabet last year.

Capex step up appears reasonable relative to peers, although FY27 margin upside limited

Microsoft guided CY26 capex of \$190bn, implying a ~\$30bn increase vs. prior consensus (with ~\$25bn attributed to component inflation). While higher than expected, we view the magnitude of the spend as broadly consistent with peers such as Amazon and Alphabet. Moreover, the company noted that the impact of the revised revenue share mechanics with OpenAI will be captured in COGS rather than Azure revenue, making the Azure acceleration more impressive. That said, there are also headwinds to FY27 margins, as higher margin segments face tougher comps / softer industry demand (i.e. Windows, server products, Office transactional purchasing, etc.).

Maintain Outperform and raising FY27 revenue / capex estimates

We increase our FY27 revenue estimate by 2%, and increase our cash capex to ~\$195bn. We also moderate our FY27 / FY28 margin expansion due to higher depreciation costs. Our TP moves to \$555 (vs. \$556 previously) on slightly lower FY28 EPS estimates, where we use a SOTP approach.

Microsoft (+)	MSFT US				Performance ⁽¹⁾	1w	1m	3m	12m
*Closing Price (29 April 2026)	USD424.5				Absolute(%)	(2)	19	(2)	8
Volume (USDm / EURm)	14,875.8 / 12,714.4				Rel. Software(%)	2	4	3	12
Market cap (USDbn / EURbn)	3,148.2 / 2,690.7				Rel. MSCI USA(%)	(2)	6	(4)	(16)
Free float (USDbn / EURbn)	3,145.6 / 2,688.6								
EV (USDbn / EURbn)	3,074.2 / 2,627.5								
Country / Sub Sector	USA / Software								
Financials	06/26e	06/27e	06/28e	06/29e	Valuation metrics	06/26e	06/27e	06/28e	06/29e
EPS, Adjusted (USD)	17.2	20.0	23.9	28.9	P/E (x)	24.6	21.2	17.8	14.7
EPS, Company (USD)	17.43	19.74	23.70	28.78	Net yield (%)	0.9	1.0	1.1	1.2
EPS - Bloomberg (USD)	16.8	19.0	22.3	25.9	FCF yield (%)	2.1	0.7	2.1	3.2
Net dividend (USD)	3.7	4.1	4.7	5.3	EV/Sales (x)	9.3	7.9	6.5	5.3
Sales (USDm)	330,172	389,034	467,305	559,874	EV/EBITDA (x)	16.0	12.9	10.1	7.9
EBITA, Adj. (USDm)	157,969	183,092	217,828	260,766	EV/EBITA (x)	19.5	16.7	13.9	11.4
Net profit, Adj.(USDm)	128,336	148,118	175,889	211,562	EV/CE (x)	6.9	5.4	4.4	3.6
ROCE (%)	28.5	26.2	25.9	25.9					
Net Debt/EBITDA, Adj. (x)	-	-	-	-					

All valuation metrics based on adjusted figures

Source: BNP Paribas Equity Research (estimates), Bloomberg (consensus) (1) In listing currency, with dividend reinvested

See page 11 for Analyst Certification, Important Disclosures, Non-US Research Analyst disclosures and BNP Paribas Group Corporate Social Responsibility ("CSR") policies. BNP Paribas has adopted strict CSR policies that govern financing and investment in certain sectors. For time of dissemination, please refer to the Cube. *Closing Price (29 April 2026). (1) FINRA member firm and broker-dealer registered with the U.S. Securities Exchange Commission

FQ3'26 results recap

What happened?

The Cloud race is now neck and neck between Amazon, Microsoft and Google with market share in the quarter, and over 12 months, almost identical (see p2), driving Cloud infra ARR of ~\$340bn growing ~39%. And after another step up in capex from Meta and Microsoft, the Big 4 will spend ~\$725bn this year, with \$1 trillion in sight for 2027. But hyperscaler op margins are expanding with headcount falling, and core business growth (not just Cloud) accelerating for all four hyperscalers due, in part, to AI, demonstrating evidence of AI monetization outside of infrastructure for model companies, with first party services benefitting. While FCF ticks lower, hyperscalers are reassuring investors that 30 year datacenter investments, and 6 year chips investments, will eventually deliver attractive ROIC and cash flows.

Microsoft results analysis:

Microsoft delivered a strong FQ3 print that effectively addressed the core investor debates, with results and forward commentary reinforcing both sustained Azure acceleration and early (but increasingly evident) AI monetization at the application layer. In FQ3, **Azure grew 39% CCY** (in line with buy-side expectations and above the 37-38% guide) while **M365 Commercial Cloud growth accelerated 1pt**, supported by 20m+ Copilot seats (+5m q/q), indicating capacity allocation towards 1P workloads is beginning to translate into AI monetization at scale.

Moreover, management commentary pointed to **'modest acceleration' in H2 CY26 vs. H1 CY26, with FQ4'26 guidance of 39-40% likely implying Azure exits the fiscal year above 40% growth**. We were also encouraged by the continued momentum around Copilot adoption as Copilot net seat adds are expected to increase sequentially from +5m in FQ3. And we view the addition of consumption-based pricing elements (most notably with GitHub Copilot and components of the upcoming E7 suite, such as Copilot Cowork) as a positive evolution as this should allow AI revenues at the apps layer to materialize more quickly vs. a pure seat-based model. In turn, we **believe this quarter serves as validation that Microsoft can effectively balance the two competing priorities** of allocating capacity towards high-demand Azure workloads while simultaneously scaling its own AI applications (i.e. M365 Copilot / Github Copilot).

That said, we believe management's capex outlook of \$190bn in CY26 came as a surprise to some (inclusive of \$25bn from component inflation), implying capex ramping to ~\$120bn in H2 CY26, or a \$240bn annualized run rate. While the magnitude of Microsoft's spend remains a point of contention amongst investors, we note the capex outlook should not come as a surprise given the other hyperscalers remain equally aggressive in securing new datacenter capacity and the clear signs of persistent compute tightness across the industry (as evidenced by rising on-demand GPU rental pricing).

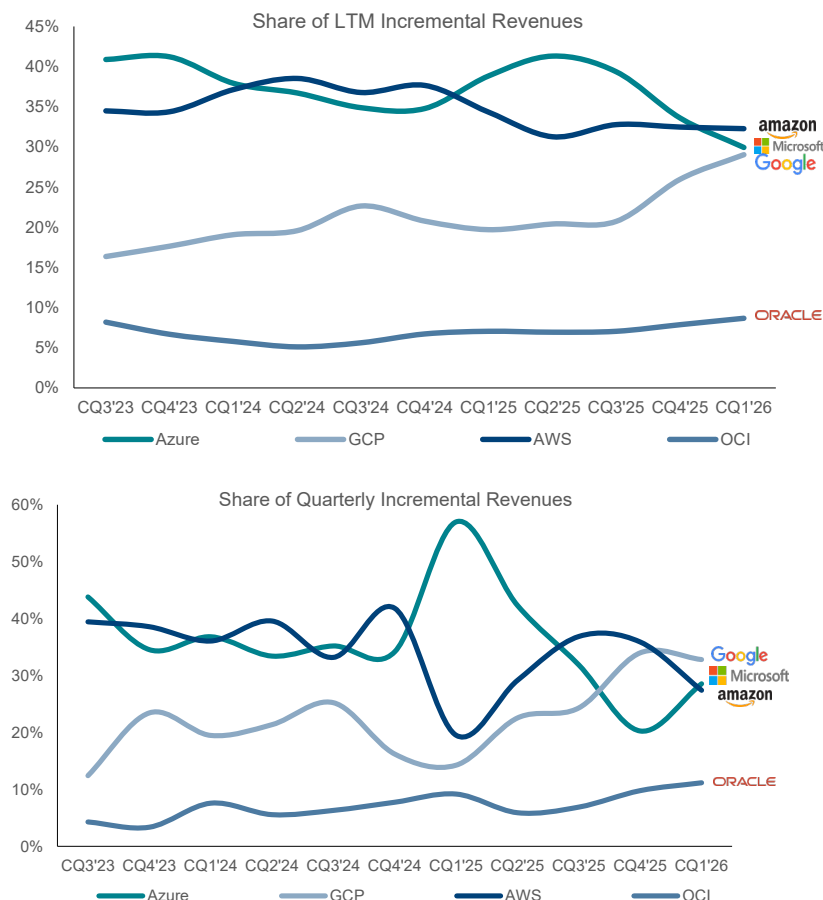
Separately, commercial RPO increased ~\$2bn q.q. as commercial bookings declined 4% in FQ3. However, this was driven by prior year comparables as Microsoft lapped elevated OpenAI-related bookings in the prior year (we estimate ~\$8bn of bookings in FQ3'25 was driven by OpenAI). Adjusting for this and assuming 'core' bookings (i.e. ex-OpenAI) also grew 7% last year, the implied lack of OpenAI bookings benefit in FQ3'26 appears reasonable given the new OpenAI \$250bn Azure commitment captured in commercial bookings last quarter. Additionally, \$11.8bn of Microsoft's \$13bn of OpenAI commitments were funded as of FQ3, up \$100m q.q.

Figure 1: Azure grew 39% CCY in FQ3 (vs. guidance of 37-38%) with FQ4 guidance of 39-40%

Quarterly Results	Consensus updated on:	FQ3'26 Actual	FQ3'26 Guide	FQ3'26 Actual vs. High	FQ3'26 Cons.	FQ3'26 Actual vs. Cons.	FQ3'26 BNPP	FQ4'26 New Guide	FQ4'26 Cons.
Group Highlights									
Group Revenue		82,886	80,650 - 81,750	1.4%	81,462	1.7%	82,471	86,700 - 87,800	87,714
Growth y.y. - Reported		18.3%	15.1% - 16.7%		16.3%	+2.0pp	17.7%	13.4% - 14.9%	14.7%
Growth y.y. - CCY		15.0%	12.1% - 13.7%		13.3%	+1.7pp	14.8%		14.2%
Gross Income - GAAP		56,058	54,000 - 54,900	2.1%	54,964	2.0%	55,533		59,047
Gross Margin - GAAP		67.6%	67.0% - 67.2%	+0.5pp	67.5%	+0.2pp	67.3%		67.3%
Operating Income - GAAP		38,398	36,200 - 37,000	3.8%	36,898	4.1%	37,681	38,000 - 38,800	39,232
Operating Margin - GAAP		46.3%	44.9% - 45.3%	+1.1pp	45.3%	+1.0pp	45.7%	43.8% - 44.2%	44.7%
Net Income		31,778			30,046	5.8%	31,090		31,505
EPS - Dil (GAAP)		4.27			4.03	5.8%	4.17		4.23
CFO		46,679			38,607	20.9%	35,183		50,599
Capex		(30,876)			(26,925)	14.7%	(26,803)		(29,263)
FCF		15,803			13,838	14.2%	8,380		22,286
Azure Growth y.y. - CCY		39.0%	37 - 38%		37.7%	+1.3pp	39.2%	39 - 40%	36.9%
Segment - Productivity & Business Process									
Revenue Segment - Productivity & Business Process		35,013	34,250 - 34,550	1.3%	34,403	1.8%	34,651	37,000 - 37,300	36,936
Growth y.y. - Reported		16.9%	14.4% - 15.4%	+1.5pp	14.9%	+2.0pp	15.7%	11.7% - 12.7%	11.5%
Growth y.y. - CCY		13%		+1.6pp		+13.0pp			
Segment - Intelligent Cloud									
Revenue Segment - Intelligent Cloud		34,681	34,100 - 34,400	0.8%	34,316	1.1%	34,638	37,950 - 38,250	37,524
Growth y.y. - Reported		29.6%	27.5% - 28.6%	+1.0pp	28.3%	+1.4pp	29.5%	27.0% - 28.0%	25.6%
Growth y.y. - CCY		28%		+1.4pp		+28.0pp			
Segment - More Personal Computing									
Revenue Segment - More Personal Computing		13,192	12,300 - 12,800	3.1%	12,647	4.3%	13,182	11,750 - 12,250	13,356
Growth y.y. - Reported		(1.3%)	(8.0%) - (4.3%)	+2.9pp	(5.4%)	+4.1pp	(1.4%)	(12.7%) - (8.9%)	(0.7%)
Growth y.y. - CCY		(3%)		+3.3pp	-	(3.0pp)	(3.4%)		-

Source: BNP Paribas Equity Research estimates, Bloomberg consensus pre-quarter

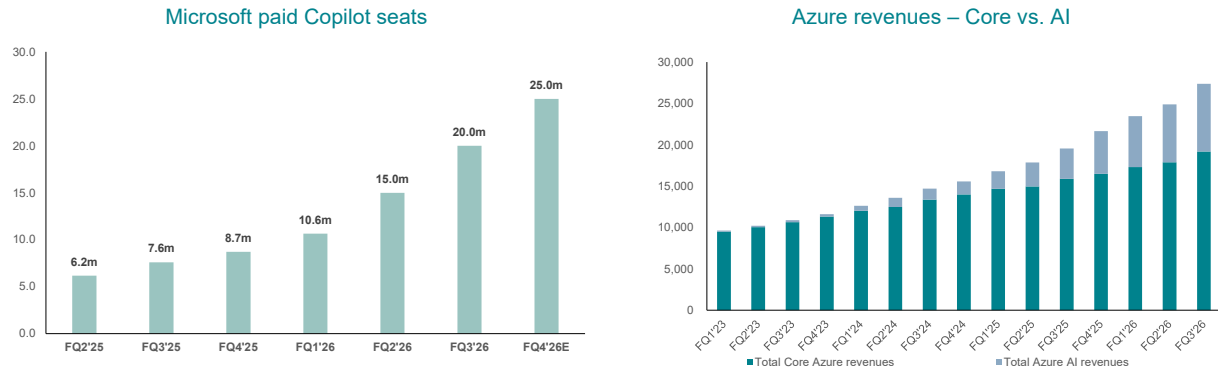
Figure 2: On an LTM basis, all three major hyperscalers have roughly similar share of incremental revenues, with AWS slightly ahead of Azure and GCP. Google added the most incremental revs.



Source: Company reports, BNP Paribas Equity Research estimates. Note: Oracle Cloud Infrastructure revenues reflect its FQ3'26 results ending in February 28, 2026

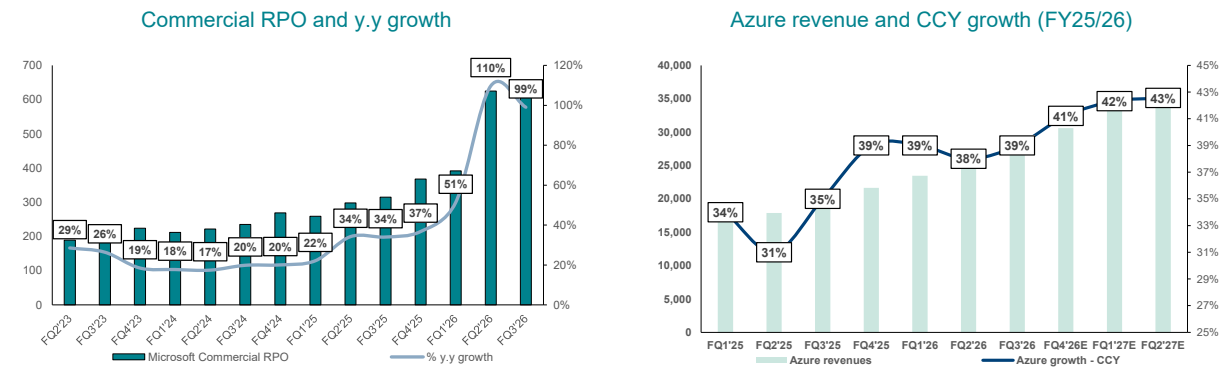
Key Charts for Microsoft

Figure 3: Microsoft paid Copilot seats grew to 20m in FQ3. We also estimate Azure AI now contributes ~23pts to overall Azure growth



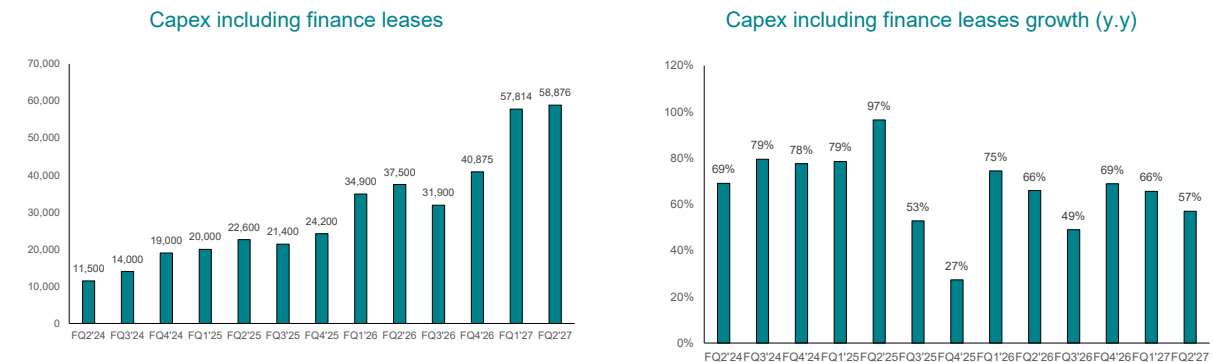
Source: Company reports, BNP Paribas Equity Research estimates

Figure 4: Azure grew 39% CCY in FQ3 with expectations for continued acceleration. Commercial bookings grew 7% ex-OpenAI.



Source: Company reports, BNP Paribas Equity Research estimates

Figure 5: Microsoft FY26 capex is expected to be ~\$144bn, with CY26 capex expected to be \$190bn

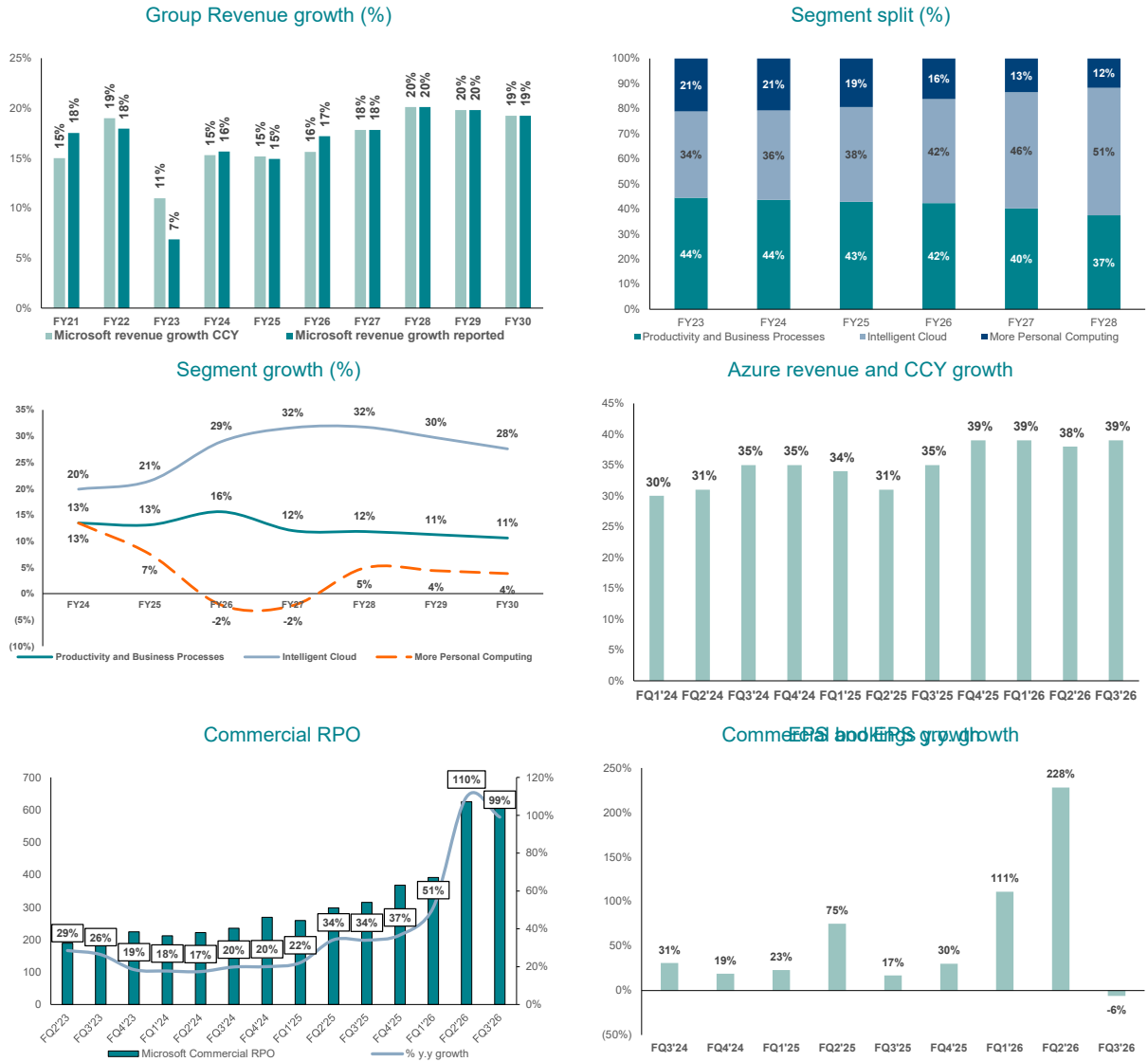


Source: Company reports, BNP Paribas Equity Research estimates

Microsoft Business Overview Charts

Figure 6: Group and Segment Growth drivers

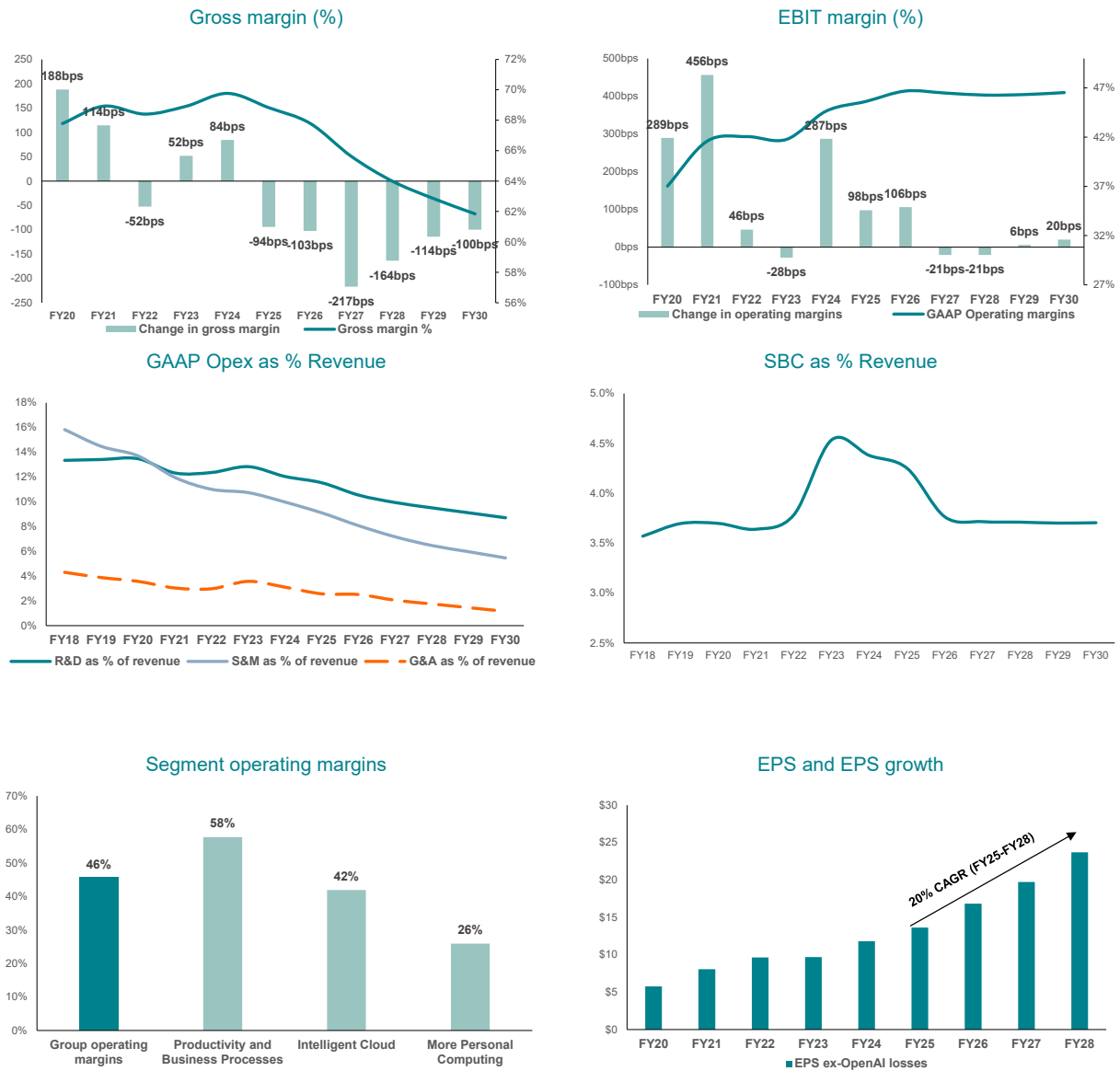
Key charts for Microsoft



Source: BNP Paribas Equity Research estimates, company

Figure 7: Profitability and EPS

Key charts for Microsoft



Source: BNP Paribas Equity Research estimates, company

Figure 8: Cashflow and returns

Key charts for Microsoft



Source: BNP Paribas Equity Research estimates

Estimate changes

Figure 9: We make adjust our estimates following Microsoft's FQ3 results and model 41% CCY Azure growth in FQ4'26. We also increase our capex outlook and moderate our margin expectations in FY27/FY28
BNP Paribas Old vs New estimates

BNP Paribas Old vs. New Overview		FY26	FY26	FY26	FY27	FY27	FY27	FY28	FY28	FY28
		Old	New	Chg.	Old	New	Chg.	Old	New	Chg.
Group Highlights										
Group Revenue	USDm	329,480	330,172	0.2%	383,353	389,034	1.5%	452,988	467,305	3.2%
Growth y.y. - CCY	%	15.3%	15.6%	+0.3pp	16.4%	17.8%	+1.5pp	18.2%	20.1%	+2.0pp
Operating Income - GAAP	USDm	153,945	154,124	0.1%	179,677	180,801	0.6%	213,664	216,203	1.2%
Operating Margin - GAAP	%	46.7%	46.7%	(0.0pp)	46.9%	46.5%	(0.4pp)	47.2%	46.3%	(0.9pp)
Operating Income - BNPP adj. (EBITA)	USDm	157,810	157,969	0.1%	181,947	183,092	0.6%	215,275	217,828	1.2%
Net Income	USDm	129,783	129,916	0.1%	146,455	146,262	(0.1%)	174,689	174,572	(0.1%)
EPS - Dil (GAAP)	USD p/sh	17.41	17.43	0.1%	19.75	19.74	(0.1%)	23.71	23.70	(0.0%)
EPS - Dil (BNPP adj.)	USD p/sh	17.38	17.22	(0.9%)	20.00	19.99	(0.1%)	23.88	23.88	(0.0%)
CFO	USDm	173,348	177,436	2.4%	214,251	216,030	0.8%	265,583	273,714	3.1%
FCF	USDm	64,692	64,604	(0.1%)	65,963	21,513	(67.4%)	84,387	64,865	(23.1%)
Azure Growth y.y. - CCY	%	38.4%	39.4%	+1.0pp	38.0%	41.3%	+3.3pp	36.3%	38.4%	+2.1pp
Segment - Productivity & Business Process										
Revenue Segment - Productivity & Business Process	USDm	138,929	139,664	0.5%	153,352	156,404	2.0%	168,007	174,892	4.1%
Growth y.y. - Reported	%	15.0%	15.6%	+0.6pp	10.4%	12.0%	+1.6pp	9.6%	11.8%	+2.3pp
Growth y.y. - CCY	%	12.7%	13.2%	+0.5pp	10.4%	12.0%	+1.6pp	9.6%	11.8%	+2.3pp
M365 Commercial Products and Cloud Services	USDm	101,272	101,769	0.5%	112,788	114,822	1.8%	124,793	130,191	4.3%
Growth y.y. - Reported	%	17.0%	17.2%	+0.2pp	16.4%	17.8%	+1.5pp	18.2%	20.1%	+2.0pp
LinkedIn	USDm	19,524	19,666	0.7%	20,802	21,151	1.7%	21,958	22,537	2.6%
Growth y.y. - Reported	%	9.6%	10.4%	+0.8pp	6.5%	7.5%	+1.0pp	5.6%	6.6%	+1.0pp
Segment - Intelligent Cloud										
Revenue Segment - Intelligent Cloud	USDm	136,730	137,053	0.2%	175,874	180,369	2.6%	228,085	237,597	4.2%
Growth y.y. - Reported	%	28.7%	29.0%	+0.3pp	28.6%	31.6%	+3.0pp	29.7%	31.7%	+2.0pp
Growth y.y. - CCY	%	27.1%	27.4%	+0.3pp	28.6%	31.6%	+3.0pp	29.7%	31.7%	+2.0pp
Server Products and Cloud Services	USDm	128,496	128,840	0.3%	167,723	172,461	2.8%	220,097	229,848	4.4%
Growth y.y. - Reported	%	30.5%	30.8%	+0.3pp	30.5%	33.9%	+3.3pp	31.2%	33.3%	+2.0pp
Segment - More Personal Computing										
Revenue Segment - More Personal Computing	USDm	53,823	53,458	(0.7%)	54,126	52,261	(3.4%)	56,896	54,816	(3.7%)
Growth y.y. - Reported	%	(1.5%)	(2.2%)	(0.7pp)	0.6%	(2.2%)	(2.8pp)	5.1%	4.9%	(0.2pp)
Growth y.y. - CCY	%	(2.4%)	(3.0%)	(0.6pp)	0.6%	(2.2%)	(2.8pp)	5.1%	4.9%	(0.2pp)

Source: BNP Paribas Equity Research estimates

Valuation

Figure 10: We slightly reduce our TP to \$555 (from \$556) driven by our lower FY28 EPS estimates. We value MSFT using a 25x FY28 P/E multiple and embed Microsoft's stake in OpenAI

Microsoft valuation overview

Share price		405	Microsoft Valuation Overview							
Target price		555								
Up/(down)side		37%								
			FY21	FY22	FY23	FY24	FY25	FY26a	FY27e	FY28e
Revenue - Group	USDm		168,088	198,270	211,915	245,122	281,724	330,172	389,034	467,305
Growth y.y. (ccy)	%		-	-	-	15.3%	15.2%	15.6%	17.8%	20.1%
EBIT - GAAP	USDm		69,916	83,383	88,523	109,433	128,528	154,124	180,801	216,203
Margin	%		41.6%	42.1%	41.8%	44.6%	45.6%	46.7%	46.5%	46.3%
EBITA - BNPP adj.	USDm		70,926	84,876	91,794	113,230	133,257	157,969	183,092	217,828
Margin	%		42.2%	42.8%	43.3%	46.2%	47.3%	47.8%	47.1%	46.6%
EPS - GAAP - dil.	USD p/sh		8.06	9.64	9.68	11.82	13.64	17.43	19.74	23.70
EPS - ex-OpenAI dil.	USD p/sh		8.06	9.64	9.68	11.82	14.10	16.83	19.74	23.70
EPS - BNPP adj. - dil.	USD p/sh		8.17	9.31	10.02	12.25	14.58	17.22	19.99	23.88
FCF - Co.	USDm		56,118	65,149	59,475	74,071	71,611	64,604	21,513	64,865
FCF - BNPP	USDm		56,118	65,149	59,475	74,071	71,611	64,604	21,513	64,865
# shares	m		7,608	7,541	7,472	7,459	7,465	7,452	7,411	7,366
Market capitalisation (accounts currency)	USDm		1,718,099	2,226,571	1,995,357	2,810,253	3,151,971	3,148,169	3,130,983	3,110,398
Adjusted net debt (restated cash)	USDm		(72,188)	(54,976)	(64,025)	(23,913)	(51,414)	(73,989)	(66,733)	(85,633)
Adjusted lease liability	USDm		-	-	-	-	-	-	-	-
Other liabilities and commitments	USDm		-	-	-	-	-	-	-	-
Revalued minority interests	USDm		-	-	-	-	-	-	-	-
(Assoc. + revalued investments)	USDm		-	-	-	-	-	-	-	-
Enterprise Value (EV)	USDm		1,645,911	2,171,595	1,931,332	2,786,340	3,100,557	3,074,179	3,064,250	3,024,765
Implied multiples at current share price										
EV/Sales	x		9.8x	11.0x	9.1x	11.4x	11.0x	9.3x	7.9x	6.5x
EV/EBITA - BNPP adj.	x		23.2x	25.6x	21.0x	24.6x	23.3x	19.5x	16.7x	13.9x
EV/EBIT - GAAP	x		24x	26x	22x	25x	24x	20x	17x	14x
P/E - BNPP adj.	x		50x	43x	40x	33x	28x	24x	20x	17x
P/E - GAAP	x		50x	42x	42x	34x	30x	23x	21x	17x
FCF yield - Co.	%		3.3%	2.9%	3.0%	2.6%	2.3%	2.1%	0.7%	2.1%
FCF yield - BNPP	%		3.3%	2.9%	3.0%	2.6%	2.3%	2.1%	0.7%	2.1%
EV/FCF	x		29x	33x	32x	38x	43x	48x	142x	47x
Implied multiples at undiscounted target price										
EV/Sales	x		26.4x	22.3x	20.6x	17.9x	15.5x	13.1x	11.1x	9.2x
EV/EBITA - BNPP adj.	x		63x	52x	48x	39x	33x	27x	24x	20x
EV/EBIT - GAAP	x		63x	53x	49x	40x	34x	28x	24x	20x
P/E - BNPP adj.	x		73x	64x	59x	48x	41x	34x	30x	25x
P/E - GAAP	x		74x	61x	61x	50x	43x	34x	30x	25x
FCF yield - Co.	%		1.2%	1.5%	1.3%	1.7%	1.6%	1.5%	0.5%	1.5%
FCF yield - BNPP	%		1.2%	1.5%	1.3%	1.7%	1.6%	1.5%	0.5%	1.5%
EV/FCF	x		79x	68x	73x	59x	61x	67x	201x	66x
Reference multiple: P/E (BNPP)										
Reference multiple: CY2027 P/E										
GAAP Price to Earnings Ratio										
						Target Multiple	Market Cap			
						25.0x	\$4,364,663			
						No. Shares	7,366			
						Implied TP	\$593			
OpenAI Valuation										
						Valuation	\$852,000			
Microsoft's stake in OpenAI						% Stake	23%			
OpenAI contribution to Microsoft						Implied TP	\$26			
Discount Factor = WACC										
	%		10%							
Price per share (undiscounted) - P/E based										
	USD		\$593							
Price per share (discounted) - P/E based										
	USD		\$529							
(+) OpenAI Stake										
	USD		\$26							
Target Price (discounted)										
	USD		\$555							
Discount period										
	Years		1.2							

Source: Company reports, BNP Paribas Equity Research estimates

Investment case, valuation and risks

Microsoft (Outperform, Target Price USD555)

Investment case

We see Microsoft as positioned to benefit from a leadership position in technologies with strong secular growth tailwinds, including Cloud Computing and Data Analytics (Azure, Synapse, Fabric), Software Development (GitHub, Visual Studio and the Windows Platform), Productivity (Office), Collaboration (Teams), Enterprise automation (Dynamics and Power Platform), Cyber Security, Advertising (Netflix and OpenAI partnerships, and own services like LinkedIn and Bing), and Gaming (Xbox and Activision). Microsoft is also now leveraging Generative AI across its products, which we believe will drive increased usage and ARPU increases. The company's OpenAI partnership will also likely help drive revenue growth acceleration. We also see Microsoft proactively managing its cost structure, despite accelerating depreciation costs, helping maintain margins at a high level. In addition, the company's communication is amongst the best in Big Tech, providing investors with a clearer understanding of investment priorities and shareholder return visibility.

Valuation methodology

We use a 25x NTM P/E multiple (using ex OpenAI gains and losses earnings) to value Microsoft, based on our FY28 EPS estimates, discounted back, and we also add value for Microsoft's stake in OpenAI.

Risks

To the upside:

Faster than expected uptake for Microsoft's Co-pilot would be a positive catalyst for the stock. Microsoft Azure's growth and market share gain could exceed our expectations, driving higher than expected revenue growth. Similarly, any of Dynamics, Office 365, Gaming, Devices, LinkedIn or Search Advertising could exceed our expectations in a given year or over a multi-year period. Greater market confidence around OpenAI, and OpenAI's ability to raise capital and achieve FCF break-even, would also help confidence.

To the downside:

The inability to meet demand, including difficulty accessing GPUs, may negatively impact Azure growth. The dependency on OpenAI for its GPT model also creates a strategic risk, while the increased dependence on Generative AI for growth also creates risk as it is still an unproven technology in the enterprise. Cyclical weakness in core businesses, such as Windows, could last longer than expected, weighing on growth and driving valuation pressure. Increasing investor concern around SaaS business models and headcount growth dependence is also a risk. Regulatory risk from competition concerns over hyperscalers' dominance of cloud workloads could also factor. Lastly the need to continuously innovate in a highly competitive market could weigh on long term profitability.

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Stefan Slowinski BNP Paribas London
Branch

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IBM	IBM US	2; 3; 4; 7; 8; 9; 10
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ESG Leader: Relative to sector peers an ESG Leader is better positioned on the chosen ESG topics, or other relevant ESG considerations.

ESG Average: A company rated as ESG Average may have strong or poor performance on an individual ESG topic, but overall has an average exposure to ESG risks and opportunities.

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Ratings	Stocks coverage		Investment Banking Services Within the previous 12 months	
	Counts	%*	Counts	%
Outperform (Buy)	645	51	166	26
Neutral (Hold)	428	34	101	24
Underperform (Sell)	202	16	42	21

* Please note that the percentages might not add up to 100% because of rounding.

BNP Paribas Financing and Investment Policies

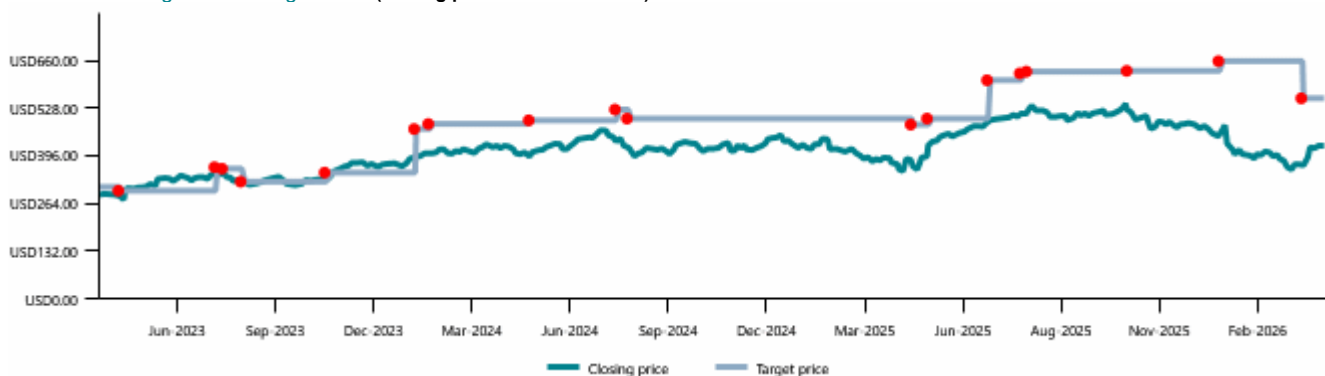
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Price and Ratings Chart

Microsoft

Historical Closing Price & Target Price (closing price as of 29/04/2026)



Source: BNP Paribas

Historical rating & target price changes

Date & Time of Dissemination (London time)	Rating (1)	Target Price	Closing Price	Key Changes	Person(s) Involved
10 Apr. 2026 14:14	+	USD556.00	USD370.87	TP down	S. Slowinski, D. Wang, K. Patton
26 Jan. 2026 21:43	+	USD659.00	USD470.28	TP up	S. Slowinski, D. Wang, K. Patton
3 Nov. 2025 05:56	+	USD632.00	USD517.03	TP up	S. Slowinski, D. Wang, K. Patton
1 Aug. 2025 11:51	+	USD630.00	USD524.11	TP up	S. Slowinski, D. Wang, K. Patton
28 Jul. 2025 05:41	+	USD625.00	USD512.50	TP up	S. Slowinski, D. Wang, K. Patton
26 Jun. 2025 21:19	+	USD606.00	USD497.45	TP up	S. Slowinski, D. Wang, K. Patton
2 May 2025 06:12	+	USD500.00	USD435.28	TP up	S. Slowinski, D. Wang, K. Patton
17 Apr. 2025 05:55	+	USD483.00	USD367.78	TP down	S. Slowinski, D. Wang, K. Patton
31 Jul. 2024 11:50	+	USD500.00	USD418.35	TP down	S. Slowinski, K. Patton
22 Jul. 2024 06:23	+	USD525.00	USD442.94	TP up	S. Slowinski, K. Patton
2 May 2024 05:59	+	USD495.00	USD397.84	TP up	S. Slowinski, K. Patton, B. Castillo-Bernaus
31 Jan. 2024 14:22	+	USD485.00	USD397.58	TP up	S. Slowinski, L. Lu, K. Patton
18 Jan. 2024 05:11	+	USD471.00	USD389.47	Rating up, TP up	S. Slowinski, B. Castillo-Bernaus, L. Lu, K. Patton
27 Oct. 2023 17:21	=	USD350.00	USD329.81	TP up	S. Slowinski, L. Lu, K. Patton
14 Aug. 2023 06:04	=	USD325.00	USD324.04	TP down	S. Slowinski, L. Lu, K. Patton
26 Jul. 2023 08:06	=	USD361.00	USD337.77	TP down	S. Slowinski, L. Lu, K. Patton
19 Jul. 2023 06:04	=	USD365.00	USD355.08	TP up	S. Slowinski, L. Lu, K. Patton

(1) With effect from 23 September 2024, BNP Paribas changed its research rating system - please refer to the 'Explanation of Research Ratings'.

Note:

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MICROSOFT (Outperform)

Price at 29 Apr. 26 / Target Price

Software - USA

USD424.5 / USD555 +31%

Company description

Microsoft Corporation is a technology company. It develops, licenses, and supports software products, services and devices. Products include operating systems; productivity applications; server applications; business solution applications; desktop and server management tools; software development tools; video games, and training. It also designs, manufactures, and sells devices, including PCs, tablets, gaming and entertainment consoles that integrate with its cloud-based offerings. It offers an array of services, including cloud-based solutions that provide customers with software, services, platforms, and content, and it provides solution support and consulting services.

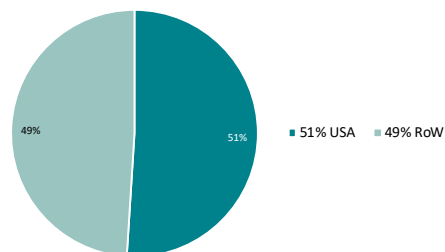
Management

Satya Nadella, CEO
Amy Hood, CFO
Scott Guthrie, Executive Vice President

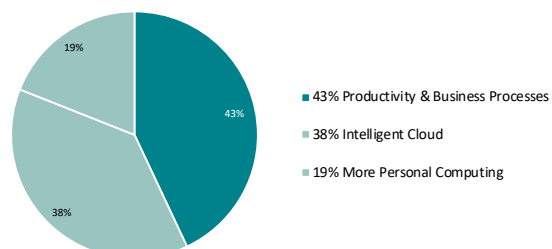
Ownership structure

Vanguard	8.1%
BlackRock	4.5%
Capital Group	4.0%
State Street Global Advisors	4.0%
Fidelity Management & Research	2.9%
T.Row e Price	2.4%
Geode Capital Management	1.6%
Norges Bank IM	1.0%
Other Shareholders	71.5%

Revenue by geography - FY24/25



Revenue by reported segment - FY24/25



Analyst

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Peer group YTD performance

Stock	Price		YTD performance in EUR (%)		
	(29 Apr. 26)		Abs.	Rel. Sector	
Zoom (-)	USD	95.8	11.4		33
Cloudflare (-)	USD	212.0	7.9		28
Cadence Design (+)	USD	330.0	6.0		26
Synopsys, Inc. (-)	USD	481.2	2.8		22
Navan (+)	USD	17.1	0.7		20
Palo Alto (+)	USD	181.5	(1.1)		18
Datadog (+)	USD	134.0	(1.1)		18
CrowdStrike (=)	USD	452.4	(3.1)		15
Microsoft (+)	USD	424.5	(11.8)		5
Oracle (+)	USD	163.8	(15.3)		0.8
Dynatrace (=)	USD	36.4	(15.7)		0.3
Samsara (+)	USD	29.4	(16.8)	(1)	
IBM (-)	USD	227.1	(22.7)	(8)	
Veeva Systems (+)	USD	158.2	(28.9)	(15)	
Adobe (=)	USD	243.6	(30.1)	(17)	
Salesforce (+)	USD	181.2	(31.2)	(18)	
Snowflake (+)	USD	141.2	(35.4)	(23)	
Workiva (+)	USD	53.9	(37.3)	(25)	
Vertex (+)	USD	12.3	(38.3)	(27)	
Zscaler (+)	USD	134.7	(39.9)	(28)	
Intuit (=)	USD	395.1	(39.9)	(29)	
ServiceNow (+)	USD	88.9	(41.8)	(31)	
Workday (+)	USD	122.4	(42.8)	(32)	
HubSpot (+)	USD	227.3	(43.2)	(32)	
Atlassian (+)	USD	70.5	(56.4)	(48)	

Sector calendar

30 Apr. 26 **ATOSS SOFTWARE**: AGM
HEXAGON: Capital Markets Day
Nemetschek: Q1 Results 2026 (07:00 CET)
05 May 26 **SAP**: AGM



Price at 29 Apr. 26 / 12m Target Price

USD424.5 / USD555 +31%

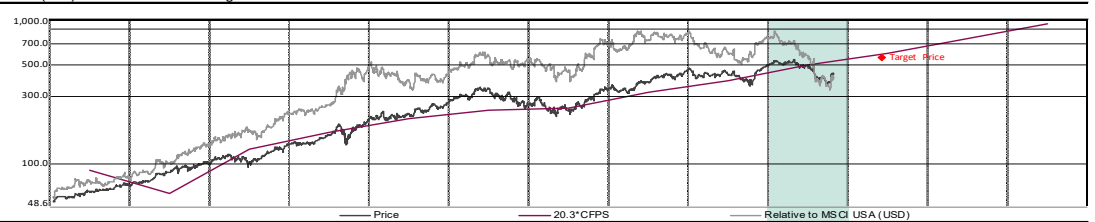
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MICROSOFT (Outperform)

Software - USA

Company Highlights			
		USDm	EURm
Enterprise value		3,074,179	2,627,501
Market capitalisation		3,148,169	2,690,740
Free float		3,145,650	2,688,587
3m average volume		14,876	12,714
Performance (%)			
	1m	3m	12m
Absolute	19%	(2%)	8%
Rel. Sector	4%	3%	12%
Rel. MSCI USA	6%	(4%)	(16%)
12m Hi/Low (USD): \$42.1 -22% / 356.8 +19%			
CAGR			
	1992/2025	2025/2028	
EPS restated	NC	19%	
CFPS	NC	25%	



Price (yearly avg from Jun. 16 to Jun. 25)		50.5	62.3	85.9	112.9	157.4	227.7	297.0	268.0	378.2	424.0	424.5	424.5	424.5	424.5
PER SHARE DATA (USD)		Jun. 16	Jun. 17	Jun. 18	Jun. 19	Jun. 20	Jun. 21	Jun. 22	Jun. 23	Jun. 24	Jun. 25	Jun. 26e	Jun. 27e	Jun. 28e	Jun. 29e
No of shares year end, basic, (m)		7 925.000	7 746.000	7 715.652	7 655.000	7 580.000	7 527.000	7 474.000	7 434.000	7 433.000	7 432.000	7 416.879	7 376.392	7 328.118	7 270.056
Avg no of shares, diluted, excl. treasury stocks (m)		8 033.250	7 837.750	7 771.583	7 752.000	7 681.500	7 607.750	7 540.500	7 472.250	7 458.500	7 465.000	7 451.720	7 411.131	7 365.971	7 311.747
EPS reported, Gaap		2.57	3.25	2.12	5.06	5.76	8.06	9.64	9.68	11.82	13.64	17.43	19.74	23.70	28.78
EPS company definition		2.57	3.25	2.12	5.06	5.76	8.06	9.64	9.68	11.82	13.64	17.43	19.74	23.70	28.78
EPS restated, fully diluted		2.78	3.33	4.09	5.19	5.87	8.17	9.31	10.02	12.25	14.58	17.22	19.99	23.88	28.93
% change		20.2%	19.7%	22.8%	26.8%	13.1%	39.1%	14.0%	7.6%	22.2%	19.0%	18.1%	16.0%	19.5%	21.2%
Book value (BVPS) (a)		9.1	11.3	10.7	13.4	15.6	18.9	22.3	27.7	36.1	46.2	59.1	74.6	93.7	117.3
Net dividend		1.43	1.55	1.68	1.84	2.04	2.24	2.48	2.72	3.00	3.32	3.67	4.14	4.66	5.27
Payout		51.2%	46.6%	40.9%	35.4%	34.7%	27.4%	26.6%	27.1%	24.5%	22.8%	21.3%	20.7%	19.5%	18.2%
EV / Sales		3.74x	4.52x	5.48x	6.40x	7.87x	9.79x	10.95x	9.11x	11.37x	11.01x	9.31x	7.88x	6.47x	5.30x
EV / Restated EBITDA		10.2x	11.7x	13.5x	14.9x	17.3x	20.3x	22.3x	18.7x	21.3x	19.2x	16.0x	12.9x	10.1x	7.9x
EV / Restated EBITA		12.2x	14.4x	16.5x	18.2x	20.9x	23.2x	25.6x	21.0x	24.6x	23.3x	19.5x	16.7x	13.9x	11.4x
EV / NOPAT		15.2x	16.9x	19.7x	20.3x	25.0x	26.9x	29.4x	26.0x	30.1x	28.2x	24.2x	20.7x	17.1x	14.0x
EV / OpCF		11.8x	12.9x	15.8x	17.3x	19.5x	23.6x	26.8x	23.7x	29.8x	33.3x	32.1x	54.7x	28.4x	20.1x
EV / Capital employed (incl. gross goodwill)		14.5x	6.6x	8.8x	9.3x	12.1x	14.1x	13.5x	10.1x	9.1x	8.4x	6.9x	5.4x	4.4x	3.6x
ENTERPRISE VALUE (USDm)		341,314	436,286	604,282	804,845	1,124,872	1,645,911	2,171,595	1,931,332	2,786,340	3,100,557	3,074,179	3,064,250	3,024,859	2,965,744
Market cap		400,867	483,073	661,810	866,486	1,198,072	1,718,099	2,226,571	1,995,357	2,810,253	3,151,971	3,148,169	3,130,983	3,110,493	3,085,848
+ Adjusted net debt		(59,553)	(46,787)	(57,528)	(61,641)	(73,200)	(72,188)	(54,976)	(64,025)	(23,913)	(51,414)	(73,989)	(66,733)	(85,633)	(120,104)
+ Other liabilities and commitments															
+ Revalued minority interests															
- Revalued investments		0	0	0	0	0	0	0	0	0	0	0	0	0	0
P & L HIGHLIGHTS (USDm)		Jun. 16	Jun. 17	Jun. 18	Jun. 19	Jun. 20	Jun. 21	Jun. 22	Jun. 23	Jun. 24	Jun. 25	Jun. 26e	Jun. 27e	Jun. 28e	Jun. 29e
Sales		91,154	96,571	110,360	125,843	143,015	168,088	198,270	211,915	245,122	281,724	330,172	389,034	467,305	559,874
Restated EBITDA (b)		33,572	37,439	44,619	53,888	65,145	81,012	97,336	103,155	130,717	161,410	191,594	236,849	300,963	374,751
Depreciation		(5,644)	(7,078)	(8,061)	(9,782)	(11,196)	(10,086)	(12,460)	(11,361)	(17,487)	(28,153)	(33,625)	(53,757)	(83,135)	(113,985)
Restated EBITA (b)		27,928	30,361	36,558	44,106	53,949	70,926	84,876	91,794	113,230	133,257	157,969	183,092	217,828	260,766
Reported operating profit (loss)		26,078	29,025	35,058	42,959	52,959	69,916	83,383	88,523	109,433	128,528	154,124	180,801	216,203	259,341
Net financial income (charges)		0	0	(983)	81	45	(46)	(128)	528	(1,528)	(4,552)	5,768	(231)	(681)	421
Affiliates															
Other		0	0	2,399	648	32	1,232	461	260	(118)	(349)	1,419	0	0	0
Tax		(5,100)	(4,412)	(19,903)	(4,448)	(8,755)	(9,831)	(10,978)	(16,950)	(19,651)	(21,795)	(31,395)	(34,308)	(40,949)	(49,355)
Minorities															
Net attributable profit reported		20,978	24,613	16,571	39,240	44,281	61,271	72,738	72,361	88,136	101,832	129,916	146,262	174,572	210,408
Net attributable profit restated (c)		22,361	26,117	31,812	40,231	45,107	62,142	70,212	74,869	91,336	108,818	128,336	148,118	175,889	211,562
CASH FLOW HIGHLIGHTS (USDm)		Jun. 16	Jun. 17	Jun. 18	Jun. 19	Jun. 20	Jun. 21	Jun. 22	Jun. 23	Jun. 24	Jun. 25	Jun. 26e	Jun. 27e	Jun. 28e	Jun. 29e
EBITDA (reported)		33,810	38,109	45,319	54,641	65,755	81,602	97,843	103,707	131,720	162,681	192,631	237,467	301,402	375,136
EBITDA adjustment (b)		(238)	(670)	(700)	(753)	(610)	(590)	(507)	(552)	(1,003)	(1,271)	(1,038)	(619)	(439)	(385)
Other items		3,043	(408)	(15,183)	2,755	9,424	10,279	7,222	8,889	5,436	1,635	22,617	15,074	17,779	21,107
Change in WCR		610	4,876	20,467	3,866	(1,483)	(936)	446	(2,388)	1,824	(5,350)	(5,648)	(1,355)	(3,398)	(7,206)
Operating cash flow		37,225	41,907	49,903	60,509	73,086	90,355	105,004	109,656	137,977	157,695	208,563	250,568	315,344	386,652
Capex		(8,343)	(8,129)	(11,632)	(13,925)	(15,441)	(20,622)	(23,886)	(28,107)	(44,477)	(64,551)	(112,832)	(194,517)	(208,849)	(240,746)
Operating free cash flow (OpCF)		28,882	33,778	38,271	46,584	57,645	69,733	81,118	81,549	93,500	93,144	95,731	56,052	106,495	147,906
Net financial items + tax paid		(3,900)	(2,400)	(6,019)	(8,324)	(12,411)	(13,615)	(15,969)	(22,074)	(19,429)	(21,533)	(31,127)	(34,539)	(41,631)	(48,933)
Free cash flow		24,982	31,378	32,252	38,260	45,234	56,118	65,149	59,475	74,071	71,611	64,604	21,513	64,865	98,973
Net financial investments & acquisitions		(15,810)	(38,455)	5,669	(1,848)	4,459	(6,033)	(3,600)	8,543	(51,195)	(10,365)	4,922	20,000	10,000	0
Other		15,454	11,800	(4,958)	(707)	(2,855)	(10,842)	(31,631)	(20,029)	(28,734)	4,761	0	0	0	0
Capital increase (decrease)		(15,301)	(11,016)	(9,719)	(18,401)	(21,625)	(25,692)	(30,855)	(20,379)	(15,252)	(16,364)	(20,303)	(18,200)	(21,700)	(26,100)
Dividends paid		(11,006)	(11,845)	(12,699)	(13,811)	(15,137)	(16,521)	(18,135)	(19,800)	(21,771)	(24,082)	(26,648)	(30,569)	(34,264)	(38,402)
Increase (decrease) in net financial debt		1,681	18,138	(10,545)	(3,493)	(10,076)	2,970	19,072	(7,810)	(42,881)	(25,561)	(22,575)	7,257	(18,901)	(34,470)
Cash flow, group share		32,715	34,631	23,417	48,319	62,158	77,676	88,589	89,970	116,724	141,512	183,084	217,384	277,112	346,925
BALANCE SHEET HIGHLIGHTS (USDm)		Jun. 16	Jun. 17	Jun. 18	Jun. 19	Jun. 20	Jun. 21	Jun. 22	Jun. 23	Jun. 24	Jun. 25	Jun. 26e	Jun. 27e	Jun. 28e	Jun. 29e
Net operating assets		39,961	75,517	79,882	93,632	103,293	128,314	166,368	187,239	301,369	371,902	441,305	559,156	672,805	797,757
WCR		(16,391)	(9,833)	(11,154)	(7,448)	(10,035)	(11,438)	(5,509)	4,694	4,307	(1,088)	4,560	5,914	9,312	16,519
Restated capital employed, incl. gross goodwill		23,570	65,684	68,728	86,184	93,258	116,876	160,859	191,933	305,676	370,814	445,864	565,070	682,118	814,275
Shareholders' funds, group share		17,997	87,711	82,718	102,330	118,304	141,988	166,542	206,223	268,477	343,479	438,382	550,331	686,279	852,907
Minorities		0	0	0	0	0	0	0	0	0	0	0	0	0	0
Provisions/ Other liabilities		21,557	25,411	39,832	41,956	43,448	43,431	44,695	46,886	60,215	76,717	97,718	97,718	97,718	97,718
Net financial debt (cash)		(59,553)	(41,415)	(51,960)	(55,453)	(65,529)	(62,559)	(43,487)	(51,297)	(8,416)	(33,977)	(56,552)	(49,296)	(68,196)	(102,667)
FINANCIAL RATIOS (%)		Jun. 16	Jun. 17	Jun. 18	Jun. 19	Jun. 20	Jun. 21	Jun. 22	Jun. 23	Jun. 24	Jun. 25	Jun. 26e	Jun. 27e	Jun. 28e	Jun. 29e
Sales (% change)		(2.6%)	5.9%	14.3%	14.0%	13.6%	17.5%	18.0%	6.9%	15.7%	14.9%	17.2%	17.8%	20.1%	19.8%
Organic sales growth															
Restated EBITA (% change)		(2.6%)	8.7%	20.4%	20.6%	22.3%	31.5%	19.7%	8.2%	23.4%	17.7%	18.5%	15.9%	19.0%	19.7%
Restated attributable net profit (% change)		16.9%	16.8%	21.8%	26.5%	12.1%	37.8%	13.0%	6.6%	22.0%	19.1%	17.9%	15.4%	18.7%	20.3%
Personnel costs / Sales		22.3%	21.0%	20.1%	18.4%	17.3%	15.0%	14.0%	14.3%	13.1%	11.7%	10.6%	9.2%	8.2%	7.4%
Restated EBITDA margin		36.8%	38.8%	40.4%	42.8%	45.6%	48.2%	49.1%	48.7%	53.3%	57.3%	58.0%	60.9%	64.4%	66.9%
Restated EBITA margin		30.6%	31.4%	33.1%	35.0%	37.7%	42.2%	42.8%	43.3%	46.2%	47.3%	47.8%	47.1%	46.6%	46.6%
Tax rate		19.6%	15.2%	54.6%	10.2%	16.5%	13.8%	13.1%	19.0%	18.2%	17.6%	19.5%	19.0%	19.0%	19.0%
Net margin		24.5%	27.0%	28.8%	32.0%	31.5%	37.0%	35.4%	35.3%	37.3%	38.6%	38.9%	38.1%	37.6%	37.8%
Capex / Sales		9.2%	8.4%	10.5%	11.1%	10.8%	12.3%	12.0%	13.3%	18.1%	22.9%	34.2%	50.0%	44.7%	43.0%
OpCF / Sales		31.7%	35.0%	34.7%	37.0%	40.3%	41.5%	40.9%	38.5%						